CDS Application Ideas

The Assignment

It is January 2025, and the credit markets are pricing the following names as follows:

Obligor	Moody / S&P Rating	Currency	Maturity Date	Bond Price	Par Asset Swap	CDS Premium (bps)	Spread Risk (SDV01)
Hilton Group plc							
1-yr CDS	Baa2/BBB	EUR	22-Dec-25			36	100.51
3-yr CDS	Baa2/BBB	EUR	20-Dec-27			45	290.84
5-yr CDS	Baa2/BBB	EUR	20-Dec-29			55	462.34
6.5% of 2030	Baa2/BBB	EUR	17-Jul-30	110.513	67	57	513.86
7-yr CDS	Baa2/BBB	EUR	22-Dec-31			62	611.33
7.125% of 2033	Baa2/BBB	GBP	11-Jul-33	107.705	83	63	685.40
10-yr CDS	Baa2/BBB	EUR	20-Dec-34			64	799.10
Koninklijke Ahold NV							
1- yr CDS	B1/BB	EUR	22-Dec-25			187	99.29
3-yr CDS	B1/BB	EUR	20-Dec-27			196	281.61
5.875% of 2029	B1/BB-	EUR	9-May-29	101.449	214	211	379.63
5-yr CDS	B1/BB	EUR	20-Dec-29			215	436.11
7-yr CDS	B1/BB	EUR	22-Dec-31			220	564.79
5.875% of 2033	B1/NR	EUR	14-Mar-33	98.003	206	223	618.61
10-yr CDS	B1/BB	EUR	20-Dec-34			225	716.34
Casino Guichard-Perrachon							
1-yr CDS	NR/BBB	EUR	22-Dec-25			26	100.65
4.75% of 2027	NR/BBB	EUR	6-Jul-27	103.980	32	39	242.26
3-yr CDS	NR/BBB	EUR	20-Dec-27			40	292.82
6% of 2029	NR/BBB	EUR	6-Mar-29	108.075	61	49	396.22
5-yr CDS	NR/BBB	EUR	20-Dec-29			53	464.86
5.25% of 2031	NR/BBB	EUR	28-Apr-31	104.630	66	57	555.20
7-yr CDS	NR/BBB	EUR	22-Dec-31			58	616.61
10-yr CDS	NR/BBB	EUR	20-Dec-34			61	808.31
AT&T Corp							
1-yr CDS	Baa2/BBB	USD	22-Dec-25			46	100.47
7% of 2027	Baa2/BBB	USD	15-Nov-27	111.355	62	75	288.42
3- yr CDS	Baa2/BBB	USD	20-Dec-27			74	290.69
5-yr CDS	Baa2/BBB	USD	20-Dec-29			88	458.76
6% of 2030	WR/BBB	USD	15-Mar-30	109.985	44	87	491.85
7-yr CDS	Baa2/BBB	USD	22-Dec-31			94	605.04
10-yr CDS	Baa2/BBB	USD	20-Dec-34			107	785.07
Republic of Mexico							
1-yr CDS	Baa2/BBB-	USD	22-Dec-25			30	101.21
3-yr CDS	Baa2/BBB-	USD	20-Dec-27			55	292.11
5-yr CDS	Baa2/BBB-	USD	20-Dec-29			100	463.39
7-yr CDS	Baa2/BBB-	USD	22-Dec-31			127	610.55
10-yr CDS	Baa2/BBB-	USD	20-Dec-34			154	787.74
Dow Chemical Company							
1-yr CDS	A3/A-	USD	22-Dec-25			23	100.67
3-yr CDS	A3/A-	USD	20-Dec-27			35	292.92
5-yr CDS	A3/A-	USD	20-Dec-29			43	466.29
7-yr CDS	A3/A-	USD	22-Dec-31			49	619.62
6.125% of 2032	A3/A-	USD	1-Feb-32	108.583	79	49	624.40
6% of 2033	A3/A-	USD	1-Oct-33	107.861	81	53	736.00
10-yr CDS	A3/A-	USD	20-Dec-34			55	813.41

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In addition, your analyst makes the following recommendations for each name:

Retail/Supermarkets

- ***Ahold: Well-crafted financial strategy; reiterate Outperform*** (TI: AHOLD)
- Despite worse-than-expected operating performance in 1H2024 (EBITA down 48%), we maintain our view that Ahold still offers the most attractive risk/reward in the Retail/Consumer space. Earnings should rebound strongly in 2025 on the back of an expected recovery in US Foodservice margins. Ahold's financial strategy efficiently matches anticipated sources and uses of funds and should address the company's liquidity needs through 2026, without requiring new bond market issuance. We reiterate our Outperform and see 30-40 bps of spread tightening potential in intermediate maturities.
- ***Casino Guichard-Perrachon: Underperform*** (TI: GROUPE)
- Healthy underlying supermarket performance but balance sheet is very stretched (lease-adj. Net Debt/EBITDA of 4.0x). Company financial policies are very aggressive and they have significant contingent liabilities in the form of various put and call options to acquire additional equity stakes. Casino's parent company, the Rallye Group, is highly levered (implicit double-B credit) and could force Casino to dividend up cash to help meet its obligations if needed. Spreads are very tight following a massive rally during 2024. Casino spreads began 2024 at L+200 area and are now trading around L+55 given the massive spread compression in BBBs.

Hospitality/Leisure

- ***Hilton Group: Faces short term risks; well positioned over the long term*** (TI: HGLN)
- The Hilton Group faces some key risks in the short-term. Hotel fundamentals continue to be weak. While leisure travel is still recovering since the coronavirus outbreak at the beginning of the decade, business demand remains depressed and occupancy rates must improve before pricing power returns. Terrorism risk is always a serious hotel sector concern – any major terrorist attack could derail nascent pick-up in travel flows.
- However, over the long-term, we believe that the Hilton Group is well positioned given its strong brand, its well refurbished hotel portfolio, and its diversified international property portfolio.

Emerging Markets

- ***Mexico: Curve Steepening***
- Given the uncertainty surrounding the approval of economic reforms by the political system, the Mexico credit curve has steepened between the 3-year and 5-year point. However, we believe that the economic reforms currently under consideration have sufficient momentum and will continue, and consequently, we believe that this steepness will dissipate.

REQUIRED

You need to advise each of the six clients, whose situation or observation is summarised on the next page, what strategy they should adopt. In each case, outline the size and direction of each of the transactions they should execute.

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Investor 1

Your client's fund holds €100mm of Casino's 6% 2029 bonds that were bought at par but now have shown significant gains of late. The bonds are currently trading at a price of 108.075, but the client's view is that further upside potential is limited. Your client would like to lock in gains to date without triggering tax consequences that would arise if the bonds were sold. (You can assume that derivatives trades do not have any tax implications.)

Investor 2

Your client observes that five-year credit protection on Ahold (B1/BB) is trading at 215 bps while five-year Casino (NR/BBB) is trading at 53 bps. Your client believes that Ahold has been overly penalized by the markets and is bullish on Ahold relative to Casino in the retail sector. However, your client is not sure where the retail sector itself is heading.

Investor 3

Your client likes AT&T and owns $50mm AT&T 6% 2030 bonds, which would yield L+44bps on a par asset swap basis. At the same time, five-year protection on AT&T in the default swap market is trading at 88bps. Is there anything that your client can do to exploit this difference?

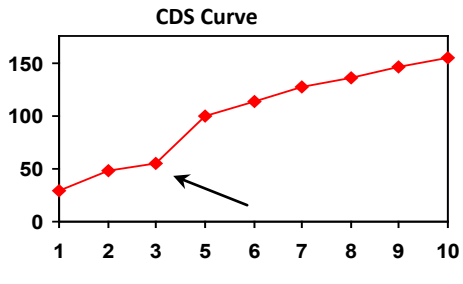
Investor 4

Your client observes that Dow's 6.125% 2032 bonds (A3/A-) are yielding L+79bps on a par asset swap basis. At the same time, seven-year default protection on Dow is offered at 49bps. Is there anything that your client can do to exploit this difference?

Investor 5

Your client observes that the current credit curve for Mexico appears unusually steep between the three-year and five-year points due to a "hitch" in the three-year point.

Your client believes that the curve will straighten. Is there anything that your client can do to exploit this view?



Investor 6

Given weak hotel fundamentals and the continued threat from another escalation in the pandemic, your client believes that the Hilton Group faces some key risks in the short term. However, he/she believes that Hilton's credit quality will ultimately improve if it makes it through the next three years. What can you suggest to your client to exploit this view? (Assume that your investor wants to exploit this view, but wants to do this off-balance sheet.)

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